

(11)
No. 94-818

Supreme Court, U. S.

F I L E D

SEP 20 1995

CLERK

IN THE
Supreme Court of the United States

OCTOBER TERM, 1995

HERCULES INCORPORATED

and

WM. T. THOMPSON COMPANY,
v. *Petitioners,*

UNITED STATES OF AMERICA,
Respondent.

On Writ of Certiorari to the
United States Court of Appeals
for the Federal Circuit

REPLY BRIEF OF PETITIONERS

JEROLD OSHINSKY *
GREGORY W. HOMER
RHONDA D. ORIN
ANDERSON KILL OLICK
& OSHINSKY
2000 Pennsylvania Ave., N.W.
Suite 7500
Washington, D.C. 20006
(202) 728-3100

MICHAEL B. KEEHAN
WALTER S. ROWLAND
HERCULES INC.
Hercules Plaza
Wilmington, Delaware 19894
(302) 594-5000

JAMES S. TURNER
ALAN DUMOFF
SWANKIN & TURNER
1424 16th Street, N.W.
Suite 105
Washington, D.C. 20036
(202) 462-8800

CARTER G. PHILLIPS *
SIDLEY & AUSTIN
1722 I Street, N.W.
Suite 900
Washington, D.C. 20006-3795
(202) 736-8000

Counsel for Petitioners

* Counsel of Record



TABLE OF CONTENTS

	Page
TABLE OF AUTHORITIES	ii
I. THE GOVERNMENT OFFERS NO PERSUA- SIVE REASON FOR DISMISSING PETI- TIONERS' <i>SPEARIN</i> CLAIM ON THE REC- ORD IN THIS CASE	4
A. The Government's Refusal To Defend the Holding Below and the Government's Con- cessions Demonstrate That Petitioners' <i>Spearin</i> Claim Is Viable	4
B. The Government's Legal Arguments for Limiting <i>Spearin</i> Are Inconsistent With the Basic Theory of This Court's Decisions and Fundamental Principles of Contract Law....	6
C. Public Policy Would Be Disserved by Limit- ing <i>Spearin</i> Unfairly To Deprive Petitioners of Their Contractual Remedy for the Injuries Inflicted Upon Them by the United States....	11
II. THE GOVERNMENT MISCHARACTERIZES PETITIONERS' DPA ARGUMENT, AND CONVENIENTLY IGNORES CRUCIAL PRO- VISIONS IN THE DPA	16
CONCLUSION	20

TABLE OF AUTHORITIES

CASES

Page

<i>Boyle v. United Technologies Corp.</i> , 487 U.S. 500 (1988)	<i>passim</i>
<i>Cort v. Ash</i> , 422 U.S. 66 (1975)	16
<i>Diaz Irizarry v. Ennia, N.V.</i> , 678 F. Supp. 957 (D.P.R. 1988)	7
<i>Hamilton v. Volkswagen of America</i> , 484 A.2d 1116 (N.H. 1984)	18
<i>Hatzlachh Supply Co. v. United States</i> , 444 U.S. 460 (1980)	11
<i>Helene Curtis Indus. v. United States</i> , 312 F.2d 774 (Ct. Cl. 1963)	<i>passim</i>
<i>In Re Agent Orange Prod. Liab. Litigation</i> , 597 F. Supp. 740 (E.D.N.Y. 1984)	10
<i>In Re Agent Orange Prod. Liab. Litigation</i> , 611 F. Supp. 1267 (E.D.N.Y. 1985)	10
<i>Kiefer & Kiefer v. RFC</i> , 306 U.S. 381 (1939)	12
<i>Lockheed Aircraft Corp. v. United States</i> , 460 U.S. 190 (1983)	12
<i>Lopez v. A.C. & S., Inc.</i> , 858 F.2d 712 (Fed. Cir. 1988), <i>cert. denied</i> , 491 U.S. 904 (1989)	13
<i>Michigan Wisconsin Pipeline Co. v. Williams-McWilliams Co.</i> , 551 F.2d 945 (5th Cir. 1977)	18
<i>Poorvu v. United States</i> , 420 F.2d 993 (Ct. Cl. 1970)	8
<i>Ryan Stevedoring Co. v. Pan-Atlantic Steamship Corp.</i> , 350 U.S. 124 (1956)	18
<i>Santisteven v. Dow Chem. Co.</i> , 506 F.2d 1216 (9th Cir. 1974)	18
<i>Stencel Aero Eng'g Corp. v. United States</i> , 431 U.S. 666 (1977)	12
<i>United States v. Johnson</i> , 481 U.S. 681 (1987)	13
<i>United States v. Spearin</i> , 248 U.S. 132 (1918)	<i>passim</i>
<i>United States v. Vertac Chem. Corp.</i> , 46 F.3d 803 (8th Cir. 1995)	9
<i>Von Hoffman v. City of Quincy</i> , 71 U.S. 535 (1867)	17
<i>Weyerhaeuser Steamship Co. v. Nacirema Operating Company</i> , 355 U.S. 563 (1958)	16, 17

TABLE OF AUTHORITIES—Continued

STATUTES	Page
28 U.S.C. § 1491 (1988)	11, 12
31 U.S.C. § 1341(a) (1) (1988 & Supp. V 1993)	13
50 U.S.C. § 2071(a) <i>et seq.</i> (1988)	<i>passim</i>
MISCELLANEOUS	
3 <i>Corbin on Contracts</i> § 551 (1960)	17
Peter H. Schuck, <i>Agent Orange on Trial</i> (enlarged ed. 1987)	9
Restatement (Second) of Contracts § 351 (1981) ..	7
W. Page Keeton <i>et al.</i> , <i>Prosser and Keeton on the Law of Torts</i> , § 103 (5th ed. 1984)	8

REPLY BRIEF OF PETITIONERS

This Court granted certiorari to review the holding of the court of appeals that the government incurred no contractual liability to petitioning manufacturers when "the Government compel[ed] manufacture of a product by private companies, a product known to the Government to be potentially dangerous, and the use by the Government of the product cause[d] the manufacturers to incur liability." (Pet. App. 34a-35a (Plager, J., dissenting)).

The majority below held that there was no liability because the government's breach of its contractual obligations supposedly did not "cause" petitioners' injury. Instead, with the benefit of 20-20 hindsight, the court of appeals opined that petitioners would not have lost the Agent Orange litigation had they proceeded to trial. Accordingly, the court of appeals concluded that the decision of petitioners to settle claims potentially worth billions of dollars after the denial of their summary judgment motion and on the eve of trial was a voluntary gift to the Agent Orange plaintiffs.

The best evidence available that the decision below is insupportable is the lack of reliance placed upon that holding by the United States in urging affirmance. Instead of defending the "causation" holding of the court of appeals, the government makes several alternative arguments as to why petitioners should not be allowed to assert a claim for breach of warranty or for indemnification in the circumstances of this case. These arguments, however, plainly do not withstand scrutiny on the record in this case and are undermined in significant measure by the government's own concessions.

Specifically, the government effectively concedes the essential elements of both petitioners' claim for a breach of the warranty of specifications recognized by this Court in *United States v. Spearin*, 248 U.S. 132 (1918), and petitioners' claim under the superior knowledge doctrine. See *Helene Curtis Indus. v. United States*, 312 F.2d 774 (Ct. Cl. 1963). First, the government has conceded

throughout this litigation that it prepared and issued the specifications for Agent Orange. Second, the government does not dispute that the Agent Orange manufactured by petitioners complied with those specifications. Third, the government does not dispute that the government had knowledge that the manufacture of Agent Orange pursuant to the government's specifications would generate dioxin as a by-product. Fourth, the government does not dispute that dioxin is hazardous and capable of causing personal injuries.

Having made such key concessions, the government is reduced to arguing that petitioners' warranty claims should not be recognized as a matter of public policy. However, the government fails to identify any legitimate interest or protection of the government that would be offended by the recognition of a *Spearin* claim in the circumstances of this case. On the contrary, the public interest would be served only if petitioners are permitted to assert such a claim here.

Just as a warranty must be and should be implied under *Spearin*, so too should an indemnification obligation be implied as a consequence of petitioners' compliance with the government's orders under the Defense Production Act ("DPA") and the other circumstances surrounding the compelled production of Agent Orange. Petitioners do not attempt to interpret the DPA's hold harmless language as an affirmative indemnity. Rather, petitioners contend that an indemnity should be implied from all of the circumstances of this case, including the circumstance that petitioners and the government contracted against the backdrop of the sweeping hold harmless language contained in the DPA.

Not only does the government's brief effectively concede the fundamental legal soundness of the three inter-related theories that petitioners rely upon for relief, but the government's brief also shows that summary judgment was wholly premature in this case because petitioners' contract theories necessarily are fact-bound and cannot be resolved against petitioners, as was done here,

without a full factual record developed through discovery. Thus, by conceding that there is "the possibility of unfairness to government contractors in [the] unusual circumstances," alleged by petitioners, the government concedes that it is necessary to have a fully developed factual record in order to determine whether this dispute involves just such "unusual circumstances." (Gov. Br. at 21).

Indeed, if the undisputed facts involving petitioners' compelled production of Agent Orange do not show extraordinary "unfairness," then the concept has no meaning. Among other things, the President ordered both Thompson and Hercules to produce Agent Orange on pain of civil and criminal penalties. A direct appeal by Thompson's president to the Department of Defense fell on deaf ears. Both Thompson and Hercules eventually were ordered to divert all of their relevant resources to manufacturing Agent Orange and were never told by the government about the hazards of producing the defoliant as specified by the United States, even though the government had long been aware of those hazards.

When Thompson and Hercules were sued by Vietnam veterans exposed to Agent Orange, the government never supported the argument that they should be shielded from liability. Instead, the government sat by and watched petitioners expend millions of dollars, first in litigation costs and then in a settlement on the eve of trial to avoid even further expense and the risk of ruinous liability. To the extent that the government became involved at all in petitioners' efforts to defend themselves in the Agent Orange litigation, it was an opponent, first seeking to limit discovery on crucial elements of the government contractor defense and later claiming that the defense was unavailable. At the end of this process, Thompson became insolvent; it currently does no business and its only real asset is this lawsuit. Hercules, while not insolvent, suffered significant financial losses. The government's argument that Thompson and Hercules are not even entitled to discovery under these "unusual" circumstances is appalling.

I. THE GOVERNMENT OFFERS NO PERSUASIVE REASON FOR DISMISSING PETITIONERS' *SPEARIN* CLAIM ON THE RECORD IN THIS CASE

A. The Government's Refusal To Defend the Holding Below and the Government's Concessions Demonstrate That Petitioners' *Spearin* Claim Is Viable

According to the court below, because of the government contractor defense, "there can be no serious doubt that had the class action Agent Orange litigation proceeded to termination, no liability would have been imposed against [petitioners]". (Pet. App. 23a). Principally on this basis, the court of appeals held that the government was not liable for breach of warranty because petitioners "volunteered" to settle the *Agent Orange* class action rather than go to trial and rely upon the government contractor defense to protect them from any and all harm.

Petitioners demonstrated in their opening brief the fundamental error in the court of appeals' reliance on hindsight to justify the dismissal on summary judgment of petitioners' breach of contract claims. (Pet. Br. at 19-22). In response to that showing, the government contradicts itself. Initially, the government purports to defend the court of appeals' ruling by stating that "the history of this litigation thus provides solid support for the court of appeals' conclusion that 'there can be no serious doubt that had the class action *Agent Orange* litigation proceeded to termination, no liability would have been imposed against [petitioners]' because of the government contractor defense." (Gov. Br. at 28).¹

In the very next paragraph, however, the government abandons any pretense of defending the court of appeals'

¹ At one point, the government goes so far as to suggest that "the availability of the defense was clearly the law of the Agent Orange tort cases." (Gov. Br. at 28). Such a suggestion is absurd in light of the fact that, at the time petitioners settled in 1984, petitioners had failed to obtain summary judgment on the government contractor defense and the court had ruled that the issue would be decided by the jury.

ruling and concedes outright that petitioners had no guarantee in 1984 that the government contractor defense would have avoided the imposition of liability. Specifically, the government states that "there were legitimate questions about [petitioners'] potential tort liability, including . . . the applicability of the government contractor defense to them in light of their knowledge and manufacturing decisions" (Gov. Br. at 29).

This latter admission by the government accurately reflects just how much "doubt" existed in 1984 as to the availability of the government contractor defense in the Agent Orange litigation. Indeed, just months after petitioners settled the Agent Orange class action in 1984, the government made a similar assessment of the ability of the government contractor defense to protect petitioners. At that time, the government argued that "there exists substantial and convincing evidence that establishes not only that there are indeed genuine issues of material fact directly bearing on the validity of each and every contention relating to the government contract defense, but also that the defense does not further the policies it purports to serve." (J.A. 36).²

While the government asserts that any uncertainty in the elements of the government contractor defense was not "relevant," that assertion is valid (if at all) only with the benefit of hindsight. In 1984, when petitioners decided to settle, petitioners had no guarantee that this Court ultimately would recognize a government contractor defense and, if so, what elements it would contain. Contrary to the United States' assertion, this uncertainty was quite "relevant" to petitioners at that time, and it made their decision to settle eminently reasonable.

² Notably, the Brief Amicus Curiae of the Agent Orange Coordinating Council ("Council Amicus Br.") in support of the government makes a similar contention:

Boyle would not have furnished a conclusive defense against the veterans' Agent Orange claims; and a jury would have probably found against petitioners on that defense and causation, notwithstanding judicial statements to the contrary.

See Council Amicus Br. at 13.

In sum, the court of appeals clearly erred in holding that petitioners' settlement of the Agent Orange litigation constituted a voluntary gift to the Vietnam veterans and this Court could reverse the decision below on this basis alone. Because the government is unable to stand behind the court of appeals' reasoning on this point, it now seeks to justify that decision by asserting a variety of other arguments. Those arguments, however, were not the subject of the court of appeals' ruling and, in any event, as demonstrated below, do not withstand analysis.

B. The Government's Legal Arguments for Limiting *Spearin* Are Inconsistent With the Basic Theory of This Court's Decisions and Fundamental Principles of Contract Law

The government concedes petitioners' principal position that a *Spearin* claim provides a remedy to contractors who suffer damages as a result of producing products in accordance with government specifications. "The proposition that the government will bear the cost of . . . difficulties attributable to errors or latent flaws in its own specifications, and not caused by any fault on the part of the contractor, is a reasonable estimate of the parties' original mutual intentions." (Gov. Br. at 17). According to the government: "[I]f the product's design was, in fact, defective, any losses would properly be the government's responsibility." (Gov. Br. at 22). Otherwise, "the result could be substantive unfairness to the contractor." (*Id.*)

Given these concessions, and the government's earlier admission that it designed the specifications for Agent Orange, petitioners at a minimum have stated a *prima facie* claim under *Spearin* for recovery of their damages as a result of the Agent Orange litigation. Nevertheless, the government now contends (1) that petitioners' *Spearin* claim involves non-recoverable post-performance damages, which allegedly are outside the scope of the *Spearin* warranty (Gov. Br. at 15-17); and (2) that there was insufficient evidence linking the exposure to Agent Orange to the injuries allegedly suffered by the plaintiffs in the Agent Orange litigation and, therefore,

petitioners cannot demonstrate that the warranty was breached. (Gov. Br. at 31-33). Both arguments are predicated on a fundamental misunderstanding of the requirements established by this Court in *Spearin* and general contract law principles.

1. At common law, no particular type or category of damages is excluded from recovery in an action for breach of contract. In particular, where third-party litigation, settlement or liability costs, including attorneys fees, are reasonably foreseeable to the breaching party at the time of contracting, then they are properly recoverable as contract damages:

The party in breach is liable for the amount of any judgment against the injured party together with his reasonable expenditures in the litigation, if the party in breach had reason to foresee such expenditures as the probable result of his breach at the time he made the contract In furtherance of the policy favoring private settlement of disputes, the injured party is also allowed to recover the reasonable amount of any settlement made to avoid litigation, together with the costs of settlement.

Restatement (Second) of Contracts § 351 at comment c.

Under this principle, all foreseeable damages should be recoverable under *Spearin*, regardless of when the damages were incurred or the type of underlying action that gave rise to the damages. Of course, foreseeability cannot be decided on summary judgment, particularly absent a developed factual record. *E.g.*, *Diaz Irizarry v. Ennia, N.V.*, 678 F. Supp. 957, 959 (D.P.R. 1988).

Spearin itself makes clear that the damages for breach of a *Spearin*-type warranty are not limited to costs of performance, and instead include "all losses" reasonable foreseeable. *Spearin*, 248 U.S. at 62. Thus, the Court in *Spearin* permitted recovery of post-performance damages in the form of lost profits, which clearly are post-performance damages.

Spearin's progeny likewise have placed no artificial temporal limits on the damages that may be recovered in a breach of warranty case. Even the government con-

cedes that the Claims Court allowed recovery for post-performance damages in *Poorvu v. United States*, 420 F.2d 993 (Ct. Cl. 1970). (Gov. Br. at 15-16). "It would make little sense to impose the obligation of an implied warranty [under *Spearin*] and then limit the life of the warranty to the period of construction." *Poorvu*, 420 F.2d at 1000. Under this reasoning, which even the courts below accepted (*see* Pet. App. 17a; 61a), petitioners have stated a claim for recovery that requires further proceedings on remand.

2. The government next argues that petitioners cannot prove that the government breached an implied warranty by providing defective specifications because supposedly "no court has ever found credible evidence that exposure to Agent Orange caused any of the injuries complained of by the individual tort plaintiffs." (Gov. Br. at 31-33). As a matter of law, the government's approach is incorrect. To prove breach of warranty under *Spearin*, petitioners need only prove that the government's specifications were defective in some respect and that the defect caused petitioners to suffer economic damages. (Pet. Br. at 18). Petitioners do not need to prove that the defect in the specifications actually caused the injuries alleged by the plaintiffs in the Agent Orange litigation.

The government's contention confuses the burden of a plaintiff in a contract action with the burden of a plaintiff in a tort action. In a product liability tort action, a plaintiff alleging injury must prove both a defective specification *and* causation between the defective specification and the alleged personal injury. *See* W. Page Keeton *et al.*, *Prosser and Keeton on the Law of Torts*, § 103 at 713 (5th ed. 1984). In contrast, a plaintiff in a contract action need only prove a link between a defect that causes a breach of contract and the actual economic damages suffered by the contractor.

There can be little doubt that there exists a triable issue of fact as whether the government's specifications were defective. Those specifications inevitably led to the production of dioxin as a byproduct of the manufacture of Agent Orange, as the government itself has conceded. U.S. Brief in Opp. Cert. at 3, *Hercules v. United States*,

Nos. 94-1557 and 94-1800 (June 1995) ("U.S. Br. in Opp.").⁸ See also Peter H. Schuck, *Agent Orange on Trial*, (enlarged ed. 1987) at 23 (stating that dioxin "inevitably" accompanied manufacture of 2,4,5-T, a herbicide used in the production of Agent Orange).

Moreover, dioxin is a highly toxic substance that the government knew to be potentially harmful at certain levels when it compelled petitioners to produce Agent Orange. If it were not, the government would have had no reason to establish a disability fund for veterans suffering from certain diseases associated with dioxin exposure. See Brief for the National Veterans Legal Services Program as Amicus Curiae in Support of Petitioners, at 7-9.

Additional evidence of the government's recognition of dioxin-related hazards lies in the decision of the Environmental Protection Agency to compel Hercules to remove dioxin created by the manufacture of Agent Orange from the environment through an expensive remedial plan. See *United States v. Vertac Chem. Corp.*, 46 F.3d 803, 806 (8th Cir. 1995). In its brief in opposition to Hercules' petition for certiorari in that case, the government contradicted its position here and acknowledged that dioxin "is a highly toxic byproduct" that was produced during the manufacture of Agent Orange. See U.S. Brief in Opp. at 3-4.

Finally, the government simply is wrong that no court has ever found credible evidence that Agent Orange was capable of causing harm. For example, in the Agent Orange class action itself, Judge Weinstein held that, "Agent Orange contained small quantities of dioxin. . . . As to the poisonous nature of dioxin and its ability to

⁸ The government contends erroneously that Hercules subsequently found a way to "eliminate" dioxin as a byproduct. (Gov. Br. at 32). In fact, it is impossible to avoid producing dioxin as a byproduct of Agent Orange. Hercules merely found a way to extract then detectable levels of dioxin from the final product so that the Agent Orange that it supplied to the United States no longer contained measurable dioxin. Rather, measurable dioxin ended up in the manufacturing wastes that became the subject of the *Vertac* case.

cause harm to mammals, including homo sapiens, there is no doubt." *In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. 740, 777 (E.D.N.Y. 1984) (emphasis added). See also *In Re Agent Orange Prod. Liab. Litigation*, 611 F. Supp. 1267, 1268 (E.D.N.Y. 1985); Council Amicus Br. at 18-20.

Based on the findings made in the *Agent Orange* litigation, along with the substantial body of evidence suggesting that dioxin is highly toxic, petitioners have, at a minimum, raised a triable issue of fact as to whether the government's specifications for Agent Orange were defective in breach of the *Spearin* warranty.

Petitioners also are able to show that the defect in the specifications gave rise to their damages. This causative link is established because petitioners' decision to settle the Agent Orange class action was reasonable, and was based on evidence of potential liability to the underlying plaintiffs because of the defect in the government's specifications. As discussed in petitioners' opening brief, damages in a contract resulting from third-party claims do not require a defendant settling those third-party claims to prove actual liability in the underlying litigation. Rather, a showing of potential liability is sufficient, a point the government does not dispute. (Pet. Br. at 26-27). Even the government does not refute that petitioners were at least potentially liable to the plaintiffs in the Agent Orange class action, as the court in that action so found in approving the settlement entered into by petitioners. *In Re Agent Orange Prod. Liab. Litigation*, 597 F. Supp. at 777 ("there was a possibility of ultimate liability with claims totalling billions of dollars.").⁴

⁴ Because petitioners are able to meet the elements of *Spearin*, and because the government basically concedes that there is no "practical difference" between *Spearin* and the superior knowledge theory, petitioners are able to meet the elements of a superior knowledge claim as well. See *Helene Curtis v. United States*, *supra*.

Petitioners have not waived a superior knowledge claim by not presenting it in the "Question Presented" section of their petition. A superior knowledge claim is fairly included within the broad question presented in petitioners' petition for certiorari. S. Ct. Rule 14.1(a).

C. Public Policy Would Be Disserved by Limiting *Spearin* Unfairly To Deprive Petitioners of Their Contractual Remedy for the Injuries Inflicted Upon Them by the United States

The government wrongly argues that it would offend public policy to permit petitioners to assert a *Spearin* claim. To the contrary, the public interest affirmatively supports petitioners' claim.

1. The government argues that, even if there were no legal or factual impediments to the assertion by petitioners of a *Spearin* claim, petitioners should not be permitted to assert such a breach of contract claim here because its assertion would vitiate the government's immunity from tort liability. (Gov. Br. at 18). Any such argument is foreclosed by this Court's previous decisions rejecting the contention of any relationship between government tort immunity and the proper scope of the remedies available for the government's breach of contract. In *Hatzlachh Supply Co. v. United States*, 444 U.S. 460, 465 (1980), this Court held, "The absence of Government tort liability has not been thought to bar contractual remedies on implied-in-fact contracts, even in those cases also having elements of a tort." Thus, even if the government is immune in tort from certain damages, that fact does not preclude liability in contract predicated on the same underlying circumstances.

In *Hatzlachh*, the United States Customs Service had seized goods of a merchandise importer for customs violations, imposed a penalty, and agreed to return the goods. When the goods were returned, however, substantial merchandise was missing. The importer sued in the Claims Court under the Tucker Act, 28 U.S.C. § 1491, for the value of the lost merchandise, alleging breach of an implied contract of bailment. The Claims Court found that the Federal Tort Claims Act barred a tort claim for the loss, and accordingly refused to recognize a contract claim. This Court reversed, holding that "neither the existence of a tort remedy nor the lack of one is relevant to determining whether there is an implied-in-fact contract of bailment upon which the United States is liable

in the Court of Claims pursuant to its waiver of sovereign immunity contained in the Tucker Act." *Id.* at 466.⁵

Hatzlachh forecloses any argument that liability for governmental breach of contract is restricted by reference to the policies underlying the government's immunity to tort claims brought by military personnel. Moreover, the argument advanced by the government on this point is singularly unpersuasive because the specific policies underlying the government's tort immunity are not sufficiently implicated by recognition of a *Spearin* claim in the circumstances of this case to justify the wholly unfair result proposed by the government. See *Stencel Aero Eng'g Corp. v. United States*, 431 U.S. 666, 672-73 (1977).

Recognition of a *Spearin* claim here would not implicate these rationales because a *Spearin* claim is based on federal common law under the Tucker Act, ensuring national uniformity. Second, neither the Tucker Act nor the FTCA purports to limit the government's liability for damages flowing from a breach of contract in the military context. See *Lockheed Aircraft Corp. v. United States*, 460 U.S. 190 (1983).

Finally, resolution of petitioners' *Spearin* claim does not implicate the concern expressed in *Stencel* regarding the adverse effects on military discipline if military personnel were permitted to use a tort action effectively to countermand the authority of their superiors. Such a concern simply is not operative where a suit is brought by the manufacturer for breach of warranty based upon a failure to apprise the manufacturer of known defects.

⁵ See also *Kiefer & Kiefer v. RFC*, 306 U.S. 381 (1989), where this Court held that a contract action was not barred even when the government was protected by tort immunity. In so doing, this Court stated:

As to the states, legal irresponsibility was written into the Eleventh Amendment; as to the United States, it is derived by implication. . . . [B]ecause the doctrine gives the government a privileged position, it has been appropriately confined.

Id. at 388 (citations omitted).

Indeed, recognition of a *Spearin* claim in these circumstances should require no greater involvement in military decisionmaking than this Court has already sanctioned in *Boyle v. United Technologies Corp.*, 487 U.S. 500, with respect to the government contractor defense. In any event, any potential for after-the-fact analysis of military decisionmaking, standing alone, is not sufficient to warrant an extension of a judicially created doctrine that has been extensively criticized. See *United States v. Johnson*, 481 U.S. 681, 692-99 (1987) (Scalia, dissenting).

2. The government's suggestion that recognition of a *Spearin* claim here may violate the Anti-Deficiency Act, 31 U.S.C. § 1341(a)(1), also lacks merit. That Act does not bar recognition of valid contract claims. The court in *Lopez v. A.C. & S., Inc.*, 858 F.2d 712, 716 (Fed. Cir. 1988), *cert. denied*, 491 U.S. 904 (1989), for example, rejected the lower court's finding that the Anti-Deficiency Act barred recovery under an implied contractual warranty:

[A] *Spearin* warranty is, if breached, enforceable only in the courts. . . . [C]ourts are not required to investigate whether program funds are available. In the circumstances, we are reluctant to found our holding on the Anti-Deficiency Act, and to do so would severely hamper the enforcement of *Spearin*-type warranties in the courts.

Id.; see also Pet. Br. at 40-41. Any other reading of the Anti-Deficiency Act would render *Spearin* a nullity.

3. In urging the Court to impose the entire burden of the Agent Orange settlement on petitioners, the government seeks to elevate form over substance. The government contends that there is a conceptual relationship between the government contractor defense and a *Spearin* claim which requires the following syllogism: if the government contractor defense was not available, then a *Spearin* claim ought not to be available or, conversely, if a *Spearin* claim is properly stated here, then the gov-

ernment contractor defense should have prevailed earlier.⁶ The government thus constructs a tidy, theoretical "heads it wins; tails petitioners lose" argument.

The flaw in this purely theoretical approach is that it ignores the realities of litigation. The question presented here is what happens when theory fails and the government's contractors suffer real financial loss through no fault of their own. The government's answer is to stick its head in the sand and insist that there should have been no loss. Petitioners' response is that they did in fact suffer such losses due to the unique circumstances of this case. If, as the government argues, the government contractor defense (and petitioners would argue the immunity under § 707 of the Defense Production Act as well) provides virtually complete protection to contractors who otherwise would have a *Spearin* claim, then the government's future exposure to its contractors would be virtually nil. Regardless, petitioners are before this Court now with a contract claim that did not fit the government's theory and the government has not proffered any arguments to justify turning a blind eye to petitioners' losses.

Nor is there any reason to expect that contractors will settle underlying actions and pay large amounts to tort plaintiffs with the intent to seek reimbursement later against the government instead of vigorously defending against the tort claims. Contractors would have no obligation to pay damages if they prevail on the government contractor defense. Also, it is far more difficult to assert a *Spearin* claim than to assert a government contractor defense, because it is necessary under *Spearin*, but not

⁶ The premise of the government's argument is flawed in any event because there is no inevitable linkage between the government contractor defense in *Boyle* and a *Spearin* claim. Thus, it is possible to lose a *Boyle* defense and still prevail under *Spearin*. For instance, the doctrines have different elements concerning the knowledge of the contractor about hazards associated with the product. In any event, the government's tidy theory is completely useless as applied in 1984.

under the government contractor defense, to prove that the specifications were defective, and that they caused the contractor to suffer damages. Finally, any contractor that expected to continue doing business with the government would be a most reluctant *Spearin* litigant.

4. Neither Hercules nor Thompson had manufactured defoliants prior to Agent Orange, and neither company was aware of the hazards of dioxin. In contrast, the record reveals that the government had extensive experience with defoliants and was aware both that its specifications for Agent Orange would lead to a product containing dioxin and that dioxin was dangerous to humans. The government should have shared its technical knowledge with petitioners, which might have given them a chance to remove this hazardous byproduct or at least to insist on appropriate warnings.

The government contractor defense does not prevent irresponsible government action because the availability of the defense directly affects only petitioners, not the government. As the government's conduct in this case demonstrates, it is of no consequence to the government whether petitioners prevail in their assertion of this defense.

A *Spearin* claim, however, affects the government directly. The possibility of being held liable for damages in contract gives the government an incentive to monitor more carefully its specifications. Moreover, the possibility that a *Spearin* claim may be brought by contractors who settle tort claims should give the government an incentive to support contractors who assert the government contractor defense to such tort claims, thereby rendering the underlying litigation more efficient.

Moreover, if this Court confirms that a *Spearin* claim is available to contractors who reasonably settle underlying tort claims, that outcome will both be equitable to contractors and consistent with the universal rule encouraging settlements. (Pet. Br. at 22). The court of appeals' position that petitioners are not entitled to recovery because they settled voluntarily wrongly functions

as a penalty for settlement and thereby promotes senseless and expensive litigation.⁷

II. THE GOVERNMENT MISCHARACTERIZES PETITIONERS' DPA ARGUMENT, AND CONVENIENTLY IGNORES CRUCIAL PROVISIONS IN THE DPA

The government depicts petitioners as pressing the Court to hold that the Defense Production Act, 50 U.S.C. § 2071(a) *et seq.*, obliges the United States to be responsible for the "character of the goods to be provided under the DPA contract." (Gov. Br. at 36). Similarly, the government contends that petitioners maintain that the protections of the DPA "extend to *any* legal liability that a contractor might otherwise incur 'by virtue of [its] performance of [a DPA] contract.'" (Gov. Br. at 36). These characterizations distort petitioners' arguments.

A. Petitioners' position is merely that a promise to indemnify may be factually implied from the nature of, and the totality of the circumstances surrounding, the parties' contractual arrangement.⁸ See, e.g., *Weyerhaeuser Steamship Co. v. Nacirema Operating Company*, 355 U.S. 563, 565 (1958). Here, an implied-in-fact indemnification agreement arose out of the circumstances that surrounded the coerced contractual arrangement that led to petitioners' production of Agent Orange.⁹ These circumstances include the fact that these contracts were executed pursuant to the authority of the DPA. Accord-

⁷ If, instead of settling, petitioners had pursued the government contractor defense to a "successful" conclusion in the Agent Orange litigation, petitioners still would have a claim against the government under *Spearin* for the damages attributable to that litigation, i.e., the costs, including attorneys fees, petitioners incurred in defending that litigation. Those costs easily could have exceeded the amount petitioners chose to pay in settlement.

⁸ Petitioners are not suggesting that they possess a private right of action under the DPA pursuant to *Cort v. Ash*, 422 U.S. 66 (1975), and its progeny.

⁹ The government incorrectly argues that Hercules did not advance this claim either in the Claims Court or in the court of appeals; Hercules' complaint contains DPA allegations. (J.A. 9-10).

ingly, petitioners contracted to produce Agent Orange against the specific backdrop of § 707(a) of the DPA which establishes the Congressional intent that manufacturers be held harmless for any liabilities flowing from compliance with an order for production issued under the Act. (Pet. Br. at 40-41).

The reasonable expectations of the parties to a contract may derive in part from the statutes relevant to the contractual obligations undertaken. See *Von Hoffman v. City of Quincy*, 71 U.S. 535, 550 (1867); 3 *Corbin on Contracts* § 551, p. 198 (1960) ("[i]t is always true that words and other symbols must be interpreted in the light of the surrounding circumstances; and the existing statutes and rules of law are always among these circumstances"). Thus, the existence of the DPA's hold harmless provision shows that an implied-in-fact agreement existed between petitioners and the government. In particular, if petitioners did suffer significant losses flowing from compliance with an order under the Act, both parties understood that the government would indemnify them.

Government compulsion is not the only reason to imply an agreement. Here, petitioners produced Agent Orange in compliance with government specifications. The government, but not petitioners, knew that these specifications inevitably would result in a product containing dioxin. The government, but not petitioners, knew that dioxin was highly toxic at certain levels. Finally, the government, but not petitioners, knew of the manner in which Agent Orange would be used in Vietnam and the extent to which service personnel would be exposed to that substance.

Taken together, particularly in the context of compelled production under the DPA, these circumstances fully warrant finding an implied agreement to indemnify. The courts repeatedly have found an implied duty to indemnify where the indemnitee has incurred tort liability to a third party injured by a dangerous condition caused by the indemnitor and where the indemnitee was free of fault. See *Weyerhaeuser*, 355 U.S. at 565 (obligation to

provide stevedoring services on shipowners' premises included an implied obligation "to perform with reasonable safety and to discharge foreseeable damages resulting to the shipowner from the [stevedore's] improper performance"); *Ryan Stevedoring Co. v. Pan-Atlantic Steamship Corp.*, 350 U.S. 124, 133-134 (1956). See also *Hamilton v. Volkswagen of America*, 484 A.2d 1116, 1118 (N.H. 984) (Souter, J.); *Santisteven v. Dow Chem. Co.*, 506 F.2d 1216, 1219 (9th Cir. 1974).¹⁰

The government attempts to distinguish this Court's holding in *Ryan Stevedoring* by styling itself as petitioners' "customer," rather than "supplier." (Gov. Br. at 41). This distinction is irrelevant. The responsibility for the production of the defective product lies with the government, whose activist role in compelling the manufacture of Agent Orange pursuant to its detailed specifications is ill-described by the phrase "customer."

The government's efforts to distinguish *Michigan Wisconsin Pipeline Co. v. Williams-McWilliams Co.*, 551 F.2d 945 (5th Cir. 1977), which the Government admits is "relevant to the issues in this case," is unavailing. It is not distinguishable on grounds that it involved an "affirmative misrepresentation." (Gov. Br. at 42). In fact, *Michigan Wisconsin* involved specifications which simply overlooked the addition of a more recent pipeline. The failure to document the pipe was an inadvertent oversight. Nevertheless, the omission created an implied indemnity. 551 F.2d at 948.

The government also seeks to avoid its reasonable obligations under the contracts it imposed upon petitioners by its self-serving and unsubstantiated representation that it did not intend to indemnify petitioners for the risks it

¹⁰ The power of the Court to read an indemnification provision into the contract is not "implied-at-law," as suggested by the government. (Gov. Br. at 40, n.23). Indemnities which are implied by the circumstances, i.e., implied-in-fact, include those recognized in *Spearin*, *Helene Curtis*, *Weyerhaeuser*, *Ryan* and similar cases. Even the government recognizes in these instances that a court which recognizes an implied contract term does not make the implied term one implied-at-law. (Gov. Br. at 15).

imposed. (Gov. Br. at 39). The government's subjective intent, however, is irrelevant. Indeed, the government's own analysis of *Spearin* proves as much: "if the government knew more than the contractor about the part of the specifications that proves to have been inaccurate, then a court may properly infer an agreement between the parties that the government would bear any resulting increase in the cost of performance." (Gov. Br. at 15). Such an inference is not dependent on subjective intent.

B. The government concedes that the protections conferred by § 707 of the DPA are co-extensive with the risks imposed by the Act. (Gov. Br. at 35). Nevertheless, the government argues that such protection is limited to cases in which the government requires a manufacturer to give priority to a government contract. This argument is based upon the government's failure to quote the entire statute.

The government attempts to support the limitation of the DPA's implied protections to priority through a sleight of italics, by selectively highlighting language in the Act that establishes the President's authority to establish "priority," and ignoring completely the Act's language that also empowers the President "to allocate materials and facilities." (Gov. Br. at 34). Focusing on the "priority" language, however, does not change the fact that the actual authority the government exercised against petitioners was to "require acceptance and performance," language that the government notably failed to highlight. 50 U.S.C. § 2071(a). The record makes clear that the DPA was used to compel acceptance and performance of contracts which otherwise would have been rejected outright, not merely delayed. (*See e.g.*, Pet. App. 4a).

C. The government is simply incorrect that acceptance of petitioners' claim would mean that "the costs of any lawsuit brought against a contractor providing a product pursuant to the DPA would be passed through to the United States through indemnification, regardless of the culpability of the contractor." (Gov. Br. at 41). The facts presented by petitioners in this case in support of

an implied indemnification obligation are unique, both as to the level of government capability in mandating a product pursuant to specifications it knew to be defective and as to the complete innocence of the contractors and their inability to take any steps to defend their interests.

The government also is incorrect that § 707 should not extend to tort liabilities because such liabilities already are taken into account by the government contract defense. (Gov. Br. at 36). Neither this Court in *Boyle*, nor lower courts which weighed the existence and contours of the government contractor defense prior to *Boyle*, even discuss the DPA. Conversely, Congress did not discuss the government contractor defense when it enacted the DPA. Thus, the existence of the government contractor defense should not diminish the protections that § 707 of the DPA provides here.

The petition in this case began with an observation by Judge Plager in his dissent concerning the core equities of petitioners' position. It is fitting to end the reply brief on the merits by returning to Judge Plager. He observed that in this case more than many others "[u]ndue attention to trees . . . hides the forest." (Pet. App. 34a). Thus, while petitioners are confident that a fair application of *Spearin*, *Helene Curtis*, and the DPA provides persuasive independent bases for holding that this case should go forward, what makes this case compelling is that the various factors that undergird those doctrines all coalesce here. Petitioners were compelled under the DPA to produce a potentially harmful product in a time of national emergency, even though the government had superior knowledge about the risks and deliberately chose not to share its knowledge with petitioners. Petitioners urge the Court to hold that "the law affords substantially more justice than the majority" below allowed (*id.*) and to permit petitioners an opportunity to discover and prove the federal government's liability on their contract claims.

CONCLUSION

The judgment of the court of appeals should be reversed, and the matter remanded.

Respectfully submitted,

JEROLD OSHINSKY *
 GREGORY W. HOMER
 RHONDA D. ORIN
 ANDERSON KILL OLICK
 & OSHINSKY
 2000 Pennsylvania Ave., N.W.
 Suite 7500
 Washington, D.C. 20006
 (202) 728-3100

MICHAEL B. KEEHAN
 WALTER S. ROWLAND
 HERCULES INC.
 Hercules Plaza
 Wilmington, Delaware 19894
 (302) 594-5000

JAMES S. TURNER
 ALAN DUMOFF
 SWANKIN & TURNER
 1424 16th Street, N.W.
 Suite 105
 Washington, D.C. 20036
 (202) 462-8800

CARTER G. PHILLIPS *
 SIDLEY & AUSTIN
 1722 I Street, N.W.
 Suite 900
 Washington, D.C. 20006-3795
 (202) 736-8000

Counsel for Petitioners

* Counsel of Record

Dated: September 29, 1995